5.

CASE #	**CASE NAME**	**HEARING NAME**
CVRI2603181	STOKICH vs HYUNDAI MOTOR AMERICA	MOTION TO COMPEL ARBITRATION

Tentative Ruling:

Because it is unnecessary to take judicial notice of documents already filed in the same action, the court denies the request.

Plaintiff submits evidentiary objections to the Declaration of Ali Ameripour. The court declines to rule on these objections as moot – as explained below, HMA does not meet its burden to show the existence of an enforceable arbitration agreement.

Upon the petition/motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co*. (1975) 14 Cal.3d 473, 479.) The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC 3.1330; *see also Condee v. Longwood Mgmt. Corp*. (2001) 88 Cal.App.4th 215, 218-19.)

"In ruling on a petition to compel arbitration, the trial court may consider evidence on factual issues relating to the threshold issue of arbitrability . . . Parties may submit declarations when factual issues are tendered with a motion to compel arbitration." (*Engineers & Architects Assn. v. Community Development Dept.* (1994) 30 Cal.App.4th 644, 653.) In the summary proceedings on a motion to compel arbitration, "the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

The Federal Arbitration Act is Applicable

HMA contends the Federal Arbitration Act ("FAA"), 9 U.S.C. §§ 1 *et. seq.* applies. The FAA applies when an arbitration agreement expressly states that it is governed by the FAA. (*Aviation Data, Inc. v. Am. Express Travel Related Servs. Co., Inc.* (2007) 152 Cal.App.4th 1522, 1534-1535; *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 355.) Here, the arbitration provision in the Owner's Handbook expressly states the FAA applies. (Decl. of Ali Ameripour, ¶ 4, Exhibit 2, § 4.) Plaintiff does not oppose the application of the FAA. Thus, the FAA governs in this case.

Existence of Arbitration Agreement

Under the FAA, courts apply California contract law to determine whether the parties formed a valid agreement to arbitrate their dispute. (*Avery v. Integrated Healthcare Holdings, Inc.* (2013) 218 Cal.App.4th 50, 59–60.) "Under both federal and California law, arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (*Armendariz v. Foundation Health Psychcare Services* (2000) 24 Cal.4th 83, 98; 9 U.S.C. § 2; CCP § 1281.2.) Similar to California law, any doubt about the arbitration of a dispute under the FAA is resolved in favor of arbitration. (*AT&T Technologies, Inc. v. Communications Workers of Am.* (1986) 475 U.S. 643, 650.)

HMA argues it can compel arbitration pursuant to the arbitration provision in the Owner's Handbook. Section 4 of the Owner's Handbook states, in relevant part:

> If you purchased or leased your Hyundai vehicle in the State of California, you and we, Hyundai Motor America, each agree that any claim or disputes between us (including between you and any of our affiliated companies) related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or duties contemplated under the warranty, including without limitation claims related to false or misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims), but excluding claims brought under the Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law. If either you or we elect to resolve our dispute via arbitration (as opposed to in a court of law), such binding arbitration shall be administered by and through the American Arbitration Association (AAA) under its Consumer Arbitration Rules.
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> ….
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> This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us (including our affiliated companies) relating to or arising out of your vehicle purchase, use of your vehicle, or the vehicle warranty subject to arbitration to the maximum extent permitted by law.
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> …
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> **IF YOU PURCHASED OR LEASED YOUR VEHICLE IN CALIFORNIA, YOUR WARRANTY IS MADE SUBJECT TO THE TERMS OF THIS BINDING ARBITRATION PROVISION. BY USING THE VEHICLE, OR REQUESTING OR ACCEPTING BENEFITS UNDER THIS WARRANTY, INCLUDING HAVING ANY REPAIRS PERFORMED UNDER WARRANTY, YOU AGREE TO BE BOUND BY THESE TERMS. IF YOU DO NOT AGREE WITH THESE TERMS, PLEASE CONTACT US AT OPT-**

OUT@HMAUSA.COM WITHIN THIRTY (30) DAYS OF YOUR PURCHASE OR LEASE TO OPT-OUT OF THIS ARBITRATION PROVISION.

(Declaration of Ali Ameripour, ¶ 4, Exhibit 2 at p. 12 - 14 [emphasis in original].)

Plaintiff argues the Owner's Handbook is unenforceable because HMA fails to authenticate any assent by Plaintiff within. In California, general principles of contract law determine whether the parties have entered a binding agreement to arbitrate. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.) "An essential element of any contract is the consent of the parties or mutual assent." (*Donovan v. RRL Corp.* (2001) 26 Cal.4th 261, 270; Civ. Code §§ 1550, 1565.) Consent is typically shown by one party's offer, followed by the other's acceptance and its communication to the offeror. (Rest. 2d Contracts §§ 22(1), 23-24.) HMA has failed to show mutual assent. There is no evidence Plaintiff signed the arbitration provision or the Owner's Handbook. Nor is there any evidence Plaintiff even signed an acknowledgement of receipt of the Owner's Handbook. In fact, there is no evidence the Owner's Handbook was presented to Plaintiff prior to, or after, purchase. There is no declaration by a representative of HMA or the dealership where the vehicle was purchased stating that the Owner's Handbook was, in fact, provided to Plaintiff or that the Owner's Handbook is provided to all Hyundai purchasers, or that the Owner's Handbook is even applicable to Plaintiff's vehicle.

While Plaintiff alleges in the complaint that HMA issued a "written warranty" in connection with the purchase of the subject vehicle (Complaint, ¶¶ 5 and 8), there is no evidence that this "written warranty" is the same as the Owner's Handbook presented by HMA. HMA fails to meet its burden Plaintiff agreed to the arbitration provision in the Owner's Handbook.

HMA's argument under doctrine of equitable estoppel also fails. It argues Plaintiff is equitably estopped from disclaiming the arbitration provision because a litigant may not assert claims based on a contract while simultaneously arguing that an arbitration clause in that contract is ineffective. The difference here is, as explained above, HMA failed to show the Owner's Handbook is an enforceable contract or even that the "written warranty" referenced in the Complaint is the same as the Owner's Handbook presented by HMA. Moreover, there is again no indication the Owner's Handbook warranty is the same warranty upon which Plaintiff sues for breach of express warranty. Notably, warranties, unlike contracts, do not impose binding obligations on the buyer. (*Weinstat v. Dentsply Int'l, Inc.* (2010) 180 Cal.Ap.4th 1213, 1228–29.) "A warranty relates to the title, character, quality, identity, or condition of the goods. The purpose of the law of warranty is to determine what it is that the seller has in essence agreed to sell." (*Keith v. Buchanan* (1985) 173 Cal.App.3d 13, 20.) Based on those warranties, the seller is bound to deliver and the buyer to accept goods that match the warranties made. (*Id.*) Written warranties are merely a written statement of promises made to the consumer prior to a purchase, which constitute a declaration of the facts presented or promises made to the consumer in connection with the sale of a good. (Com. Code §

2313; Civ. Code §§ 1791.2, 1790.3; 15 U.S.C. § 2301(6).) While the seller may be held to the promises/warranties it made to a consumer prior to the sale of a vehicle, which are reduced to a written form pursuant to Civ. Code § 1791.2, Com. Code § 2313 and/or 15 U.S.C. § 2301(6), the written warranties do not constitute a contract between the manufacturer and the buyer.

Thus, while Plaintiff can sue for breach of warranty under the Song-Beverly Act and the express warranty, HMA cannot enforce the arbitration provision without showing Plaintiff consented to it.

HMA failed to meet its burden showing the existence of a valid and enforceable arbitration agreement under the Owner's Handbook or otherwise. **The motion is denied.**